APOLLO HOSPITALS ENTERPRISE LTD

MAGNUS HATHAWAY INVESTMENTS

Research Analyst

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APOLLO HOSPITALS

Price:
₹8,446/-

Market Data	
Market Cap	₹1,21,441 Cr
EV/EBITDA	28.6x
ROCE	17.4%

Business Model

BUY

Apollo Hospitals is a Chennai-based integrated Healthcare company earning Revenue from running a large network of multi-specialty Hospitals across India

Not only Hospitals, It also runs one of India's largest Pharmacy chains, a Digital Health platform (Apollo 24/7), and a Diagnostics, and Primary Care business

The Hospitals are the profit engine, and the other businesses feed patients into them

Its business segments (Q2 FY27 revenue mix) are as follows:

👉 Healthcare Services (Hospitals): 51% of Revenue
👉 Apollo HealthCo (Pharmacy Business: Online + Physical): 43% of Revenue
👉 Apollo Health & Lifestyle App: 6% of Revenue

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Why we like this Stock

There is an important Corporate Action happening very soon: The Co. is demerging its Pharmacy, 24×7, and Telehealth businesses into a new listed entity called Apollo Healthtech Ltd (AHTL)

The Demerger is a big positive, and expected to be completed by Q4 FY27. After that, Apollo Hospitals will operate only its Hospitals and Diagnostics business under its own name

Existing shareholders of Apollo Hospitals will be entititled to shares in the new Co. in the following ratio: For every 100 shares of Apollo Hospitals held on the record date, shareholders will receive 195.2 shares of Apollo Healthtech

The existing business is firing on all cylinders. Q2 numbers have been robust:

👉 Hospitals revenue grew 23% YoY, above the guided 20%

👉 ARPP (Avg Rev per Patient) rose 8% YoY

👉 Inpatient volumes rose 14% YoY

👉 Occupancy improved to 73%

Growth is coming from both Volume and Price. More patients are being treated (volume), and each patient is bringing in more revenue (case mix and pricing). This is the strongest combination for a Hospital operator



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Valuation wise Apollo Hospital is currently trading at a very comfortable valuation. At a 28.6x times EV/EBITDA valuation, the stock is trading comfortably below its 5, 3, and 1 year average valuations

Apollo Hospitals is part of the Nifty 50 and BSE 100 and remains an FII favourite, making it a likely beneficiary when foreign flows return to India. A shift away from AI stocks in the US towards Defensive sectors like Healthcare could also work in Apollo's favour



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Technical View

On the daily chart, Apollo Hospitals has formed a Double Bottom pattern, followed by a liquidity sweep near the support zone. The stock has also witnessed a recent swing breakout above the 200 EMA and is now showing a strong bounce from the 50 EMA, indicating strength and the potential for further bullish continuation

On the monthly chart, the stock has retraced approximately 50% of its previous down move and formed a strong bullish candle close, further supporting the positive outlook

Target & Profit Booking Strategy:

👉Target 1: ₹9,080 (Previous ATH) – Book 30% of the position
👉Target 2: ₹9,600 – Book another 30%
👉Target 3: ₹10,200 – Book the remaining 40%

The overall structure remains bullish, with potential for further upside as long as the stock sustains its strength



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Risk Factors

The Govt's recent 30% trade-margin cap on 137 Cancer medicines, effective 9 November 2026, could put near-term pressure on Apollo's Pharmacy margins. However, higher service charges could partly offset the impact, leaving the core Hospital growth story intact

We believe the recent stock correction has already priced in some of this risk. Shares have since bounced back from lower levels, although the actual earnings impact remains a key factor to watch



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DISCLOSURES

SEBI Registration Status. SEBI Research Analyst Registration Number - INH000024170	**Yes**
Whether the research analyst or research entity or his associate or his relative has any financial interest in the subject Co. and the nature of such financial interest.	**No**
Whether the research analyst or research entity or its associates or relatives have actual/beneficial ownership of one percent or mOre securities of the subject Co. (at the end of the month immediately preceding the date of publication of the research report or date of the public appearance)	**No**
Whether the research analyst or research entity or its associates or his relative has any other material conflict of interest at the time of publication of the research report or at the time of public appearance.	**No**
Whether it or its associates have managed or co-managed public offering of securities for the subject Co. in the past 12 months	**No**
Whether it or its associates have received any compensation for products or services other than investment Banking or brokerage services from the subject Co. in the past twelve months.	**No**
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Whether the subject Co. is or was a client during twelve months preceding the date of distribution of the research report and the types of services provided.	**No**
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Whether the research analyst or research entity has been engaged in market making activity for the subject Co..	**No**

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EXPLANATIONS

Healthcare Services
Apollo's Hospitals business, where it earns from inpatient and outpatient treatment. It is the largest and most profitable segment

Apollo HealthCo
The pharmacy and digital health business, which includes Apollo Pharmacy stores and the Apollo 24/7 app. It is the business being demerged

AHLL (Apollo Health & Lifestyle)
The diagnostics, clinics and other retail Healthcare business. It brings patients into the Hospitals

Apollo 24/7
Apollo's digital health platform for ordering medicines, booking consultations and diagnostics

GMV (Gross Merchandise Value)
The total value of goods and services sold through a platform before costs. It shows how big the Apollo 24/7 platform is becoming

Demerger
When a company separates one of its businesses into a new, separately listed company, with shareholders receiving shares in the new entity. Apollo is spinning off its pharmacy and digital health business into Apollo Healthtech

Conglomerate Discount
The lower valuation the market gives to a company that runs very different businesses together. A simpler structure can reduce this discount

Inpatient (IP) Volumes
The number of patients admitted to the hospital for treatment. It shows how busy the Hospitals are

Occupancy
The % of available hospital beds that are in use. Higher occupancy means better use of capacity and higher profits

ARPP (Average Revenue Per Patient)
The average revenue earned from each inpatient. It rises with more complex treatments and better pricing, and it is a key driver of hospital growth

Case Mix
The mix of treatments the hospital performs. A higher share of complex specialties, such as heart, cancer and neuro care, means higher revenue per patient

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